# BROOKSIDE AT MONTVILLE AL/MC PAD

Montville Twp, Morris County, NJ · 114 units (78 AL · 36 MC) · 4 acres · 45 min to Midtown

**Recommendation: Needs a PILOT.** With comp-based building size, fully taxed YOC is 6.45%, just under the floor. It clears with a PILOT, but no redevelopment designation was found for Brookside; Montville's past PILOTs came through affordable-housing settlements. Ask the township before LOI.

| CAPITAL REQUIRED | EQUITY · LOAN | YIELD ON COST · PILOT |
|---|---|---|
| **$61.7M** | **$24.7M · $37.0M** | **7.21%** |

| LEVERED IRR · LP NET | PROFIT AT STABILIZATION | AT RISK BEFORE APPROVAL |
|---|---|---|
| **13.4% · 12.8%** | **$15.9M** | **$2.83M** |

## THESIS

- **Approvability.** Town approved age-restricted; Highlands region. Opposition risk is medium.
- **Deal route.** JV to add AL/MC. Diversified Properties owns; approved 266 age-restricted.
- **Need and rents.** Need 58, rent support 72 and approval 60 on a 100-point scale.
- **Returns.** 7.21% yield on cost against a 6.5% floor. Value at a 6.50% exit cap is $79.2M on trended NOI of $5.15M. Max land at the floor is $5.0M against a $5.7M basis. LP net IRR after an 8% pref and 80/20 split: 12.8%.

## SOURCES AND USES

| | |
|---|---|
| Land | $5.70M |
| Hard cost | $35.19M |
| Site work | $1.24M |
| Contingency | $1.82M |
| FF&E | $2.51M |
| Soft cost | $7.29M |
| Construction interest | $3.00M |
| Lease-up reserve | $4.96M |
| **Total uses** | **$61.70M** |
| Equity, 40% (LP 90% / GP 10%) | $24.68M |
| Construction loan, 60% LTC | $37.02M |

## SCHEDULE

| | |
|---|---|
| Predevelopment and approvals | 9 mo |
| Construction | 20 mo |
| Lease-up to stabilization | 30 mo |
| **Site control to sale** | **59 mo** |

## TEAM

| | |
|---|---|
| Operator, first call | Engel Burman |
| Operator, second | Juniper Communities |
| General contractor | IMC Construction (alternate O.A. Peterson Construction) |

## DOWNSIDE CASES

| CASE | YOC | UNLEV. IRR | LEV. IRR | MULTIPLE | PROFIT |
|---|---|---|---|---|---|
| Base case | 7.21% | 7.3% | 13.4% | 1.64x | $15.9M |
| Rents −10% | 6.49% | 3.8% | 7.4% | 1.33x | $8.0M |
| Hard costs +10% | 6.70% | 4.9% | 9.3% | 1.42x | $11.2M |
| Exit cap +50 bps | 7.21% | 4.9% | 9.2% | 1.42x | $10.3M |
| Lease-up +6 months | 7.10% | 6.4% | 11.8% | 1.64x | $16.1M |
| **Combined downside** | **5.95%** | **-0.6%** | **-1.3%** | **0.94x** | **−$1.5M** |

All four shocks at once (rents −10%, hard costs +10%, exit cap +50 bps, lease-up +6 months) take yield on cost to 5.95% and the levered IRR to -1.3%, a $1.5M loss on a sale at stabilization.

## STRUCTURING THE DOWNSIDE

**Recommended: GMP contract + PILOT.** GMP contract, on top of the PILOT already in the base case, holds breakeven: the combined downside still returns $1.8M of profit (6.25% YOC, 1.5% levered IRR). Condition: No redevelopment designation found for Brookside. Montville has granted 30-year PILOTs through affordable-housing settlements (AvalonBay, Mill Creek); this needs a new agreement.

| STRUCTURE | BASE YOC | BASE PROFIT | DOWNSIDE YOC | DOWNSIDE PROFIT | BREAKEVEN? |
|---|---|---|---|---|---|
| As underwritten | 7.21% | $15.9M | 5.95% | −$1.5M | No |
| **GMP contract** | **7.21%** | **$15.9M** | **6.25%** | **$1.8M** | **Yes** |
| GMP + ground lease | 7.34% | $15.6M | 6.28% | $1.8M | Yes |
| GMP + operator master lease | 6.67% | $1.8M | 6.51% | −$3.5M | No |
| Fee development for a nonprofit | 7.84% | $22.6M | 6.87% | $8.1M | Yes |

## KEY RISKS AND HOW WE CLOSE THEM

| | |
|---|---|
| **Entitlement** | Amend existing approval; approval odds 54% (Even). Approved 266 age-restricted; AL needs amendment + CN. |
| **Lease-up** | 30 months to stabilization at industry-norm net move-ins (2–4 a month for AL/MC, 3–6 for IL; NIC MAP). The downside case adds 6 months. |
| **Rents** | 3% under the Class A median of the Morris comp set, but that set sits outside Montville's own market, where listings run mostly $4,500-6,000 (Wayne, Montville, Parsippany). The Montville market study flags rent as unconfirmed until a rate shop. A NIC MAP pull and a rate shop confirm before LOI. |
| **Taxes** | The return depends on a PILOT (fully taxed YOC 6.43%). Close only on a signed term sheet. |

## NEXT STEPS

1. Pitch Diversified.
2. Gate 1 · Feasibility by month 3, $0.16M at risk. Counsel confirms the amend existing approval path; the massing fits bulk and parking; Phase I and wetlands flagging are clean.
3. Gate 2 · Political read by month 6, $0.26M at risk. Staff sees a path; mayor and a board majority are neutral or supportive; no organized opposition after abutter meetings.

Model outputs for screening, not an appraisal, offer or investment advice. Estimates are replaced with NIC MAP and assessor data before LOI. Full dossier: senior-living-pipeline-1cia.vercel.app/sites/NJ-10. Excel model: senior-living-pipeline-1cia.vercel.app/models/ATCO-NJ-10-proforma.xlsx